

Shelly Group SE (BSE: SLYG / OTC: SHELY) — Investment Thesis

March 2026 | Based on FY2025 financial results and bottom-up financial model Valuation methodology revised July 2026: 5-year → 15-year three-phase DCF (see DCF Valuation Methodology).

Executive Summary

Shelly Group SE is a Bulgarian-headquartered IoT company that designs, manufactures (via contract manufacturing in China), and distributes smart home devices — primarily compact Wi-Fi/Bluetooth relays, sensors, smart plugs, and energy monitoring solutions — sold under the “Shelly” brand in over 130 countries. The company has compounded revenue at ~45% CAGR over 2022-2025, growing from EUR 47.6M to EUR 149.7M, while maintaining EBIT margins near 25% and benefiting from Bulgaria’s 10% corporate tax rate.

Our bottom-up model, anchored in device shipment growth, average selling price trends, and emerging cloud/subscription revenue, yields the following DCF-implied share prices. The valuation uses a **15-year, three-phase DCF** — the historical ~45% growth is faded gradually to a mature, GDP-like rate before the Gordon terminal begins — because a 5-year window structurally under-values a company with a decade-plus of compounding ahead (it placed ~80% of value in a terminal computed off a cash flow still growing ~17%):

Scenario	Implied Price	Upside	2040E Revenue	Rev CAGR (25-40)	Terminal EBIT margin
Bull	EUR 179.11	+211%	EUR 1,851M	18.3%	36.1%
Base	EUR 92.38	+60%	EUR 1,034M	13.7%	31.1%
Bear	EUR 36.72	−36%	EUR 443M	7.5%	25.5%

At a 25/50/25 (Bull/Base/Bear) weighting, the probability-weighted fair value is **~EUR 100** (+74% vs the EUR 57.60 price) — the distribution is right-skewed because the bull runway is long. At the current price the market is effectively discounting a ~13% WACC (see sensitivity table), aggressive for a net-cash, 25%-EBIT-margin compounder.

The thesis rests on three pillars: (1) a massive and underpenetrated smart home TAM with Shelly’s differentiated open-ecosystem, low-price-point product strategy capturing share from incumbent

walled-garden players, (2) a nascent but high-potential cloud/subscription revenue stream (Shelly Cloud, premium subscriptions, B2B services) that could transform the margin profile from hardware-like to platform-like over time, and (3) a fortress balance sheet with net cash, low capex requirements, and a structurally advantaged 10% Bulgarian corporate tax rate.

Company Overview

What Shelly does. Shelly Group designs compact IoT devices — relays, sensors, smart plugs, energy meters, thermostats, and smart locks — that enable smart home and building automation. The devices connect via Wi-Fi, Bluetooth, Zigbee, and Matter protocols and can operate fully locally without cloud dependency, distinguishing Shelly from competitors that require proprietary hubs or cloud lock-in.

Why customers choose Shelly. Three core differentiators: (1) **Open ecosystem** — devices work with Home Assistant, Google Home, Alexa, Apple HomeKit/Matter without requiring a proprietary hub, (2) **Entry-level pricing** — products start below EUR 20, making smart home accessible to mass-market consumers and cost-conscious professional installers, and (3) **Local-first architecture** — devices can operate without internet, appealing to privacy-conscious users and the technically sophisticated DIY community.

Business model. Shelly designs products in Bulgaria, manufactures via contract manufacturers in China, and sells through a hybrid B2B/B2C distribution model. ~90% of revenue comes from B2B channels (distributors, wholesalers, Amazon marketplace, professional installers), with the direct webshop (~10%) growing rapidly (tripled YoY during Black Week 2025). The company also operates Shelly Cloud, a free-tier cloud platform with 2.7 million users and a growing premium subscription offering.

Scale as of FY2025:

Metric	FY2025
Revenue	EUR 149.7M
Revenue Growth	+40.3% YoY
Gross Margin	57.8%
EBIT (Adjusted)	EUR 37.7M
EBIT Margin (Adj.)	25.2%
Net Income	EUR 25.5M

Metric	FY2025
Cumulative Devices Sold	~30M+
Shelly Cloud Users	2.7M
Professional Installers	5,300+
Shares Outstanding	18.1M
Market Cap (Mar 2026)	~EUR 1.04B
Enterprise Value	~EUR 1.03B

Key Concepts an Investor Must Understand

1. The Smart Home TAM Is Massive and Underpenetrated

The global home automation market was valued at USD 52.7 billion in 2024 and is projected to reach USD 66.5 billion by 2029 (4.8% CAGR), with more aggressive estimates placing it at USD 325 billion by 2034. Smart home penetration in European households remains in the low teens. Shelly's entry-level pricing and open ecosystem position it to capture disproportionate share as the market transitions from early adopters to mainstream consumers. With ~30M cumulative devices sold and 2.7M cloud users, Shelly holds an estimated 6.66% share of the EUR 2.8B European Smart Home IoT market — meaningful scale, yet still a small fraction of the addressable market.

2. The Device-to-Cloud Flywheel

Every Shelly device sold creates a potential cloud user, and every cloud user creates data, engagement, and upsell opportunity. The flywheel: (1) Low-cost hardware drives high unit volumes, (2) Devices connect to Shelly Cloud, growing the user base, (3) Cloud users can upgrade to premium subscriptions (38,000 premium users, +61% YoY), (4) Data from millions of devices enables smarter products and AI-driven features, (5) Satisfied users buy more devices and recommend to others. Premium subscription revenue grew 78% YoY in 2025 — still tiny in absolute terms but validating the model. NPS of 56 (overall) and 37 (app) indicate strong customer satisfaction.

3. Hardware Margins Are Structurally Strong — But the Real Prize Is Software

Shelly's gross margin of 57-60% is remarkably high for a hardware company (consumer electronics peers typically operate at 30-45% GM). This reflects the asset-light model (no owned factories), high-value product design, and favorable component costs. The 25% EBIT margin further demonstrates efficient operations. However, the long-term upside comes from cloud/subscription revenue, which carries near-100% gross margins. Even a modest shift in revenue mix toward recurring software revenue would significantly expand blended margins.

4. Matter/Thread Protocol Adoption Is a Catalyst, Not a Threat

The Matter smart home standard (backed by Apple, Google, Amazon, Samsung) could be viewed as a threat — standardization might commoditize devices. Instead, Shelly has embraced Matter from Gen3/Gen4 products onward, making its devices natively compatible. This actually expands Shelly's addressable market by ensuring interoperability with all major ecosystems. Unlike competitors locked into proprietary ecosystems (Philips Hue, Tado), Shelly's open approach means Matter adoption benefits rather than harms them.

5. European Stronghold with US Expansion Optionality

DACH (Germany, Austria, Switzerland) contributes ~41% of revenue, with Rest of Europe at ~50% and Rest of World (including US) at ~9%. The US market, the world's largest smart home market, represents massive untapped potential. Rest of World revenue grew 54% in FY2025 and 83.7% in H1 2025, with the US being the primary driver. A successful US expansion could meaningfully accelerate the growth trajectory. However, the thesis does not depend on US success — the European market alone provides a long growth runway.

6. The Bulgarian Tax Advantage

Bulgaria's flat 10% corporate tax rate is among the lowest in the EU. This is a structural, legal advantage that persists regardless of where Shelly sells its products (the company is domiciled and taxed in Bulgaria). For comparison, most European peers face 20-30% corporate tax rates, and US-listed IoT companies face a 21% federal rate plus state taxes. This ~10-15 percentage point tax advantage flows directly to the bottom line and to shareholders.

7. The Professional (B2B) Channel Is Inflecting

The number of professional installers in Shelly's network surged from 900 at end-2024 to 5,300+ by end-2025 — a ~6x increase in one year. The Pro channel is estimated to represent ~35% of revenue in 2025, up meaningfully from prior years. Professional installers create a recurring demand channel (they specify Shelly in projects, creating repeat purchasing) and validate the products for commercial/building applications. The Shelly Pro and Gen4 product lines specifically

target this segment with DIN-rail mounting, enhanced connectivity, and building management features.

8. OTC Listing Limits Institutional Access — but a Dual Listing Could Unlock Value

Shelly trades primarily on the Bulgarian Stock Exchange (BSE: SLYG) with OTC ADRs in the US (SHELY) and a Frankfurt listing (ETR: SLYG). The BSE is a small, illiquid exchange, and OTC ADRs have limited institutional investor access. Average daily trading volume is ~9,500 shares. A potential uplisting to a major European exchange (Xetra, Euronext) or a US exchange (NASDAQ) could materially expand the investor base and reduce the liquidity discount. The company's 2024 conversion from AD (Bulgarian joint-stock company) to SE (Societas Europaea) was a deliberate step toward facilitating a potential European exchange listing.

Growth Strategy / Key Opportunities

Product Portfolio Expansion

Shelly has evolved from simple relays (Shelly 1) to a comprehensive IoT ecosystem spanning smart plugs, energy meters, thermostats, door locks, motion sensors, smoke detectors, and a touchscreen control panel (Gen4). Each new product category expands the addressable market and increases revenue per household.

Geographic Expansion

Rest of World revenue grew 54% in FY2025. The US launch is in early stages with a dedicated US subsidiary (Shelly USA). Italy, Scandinavia, and Central Europe are also high-growth markets. The company has room to grow in markets where it has minimal presence today.

Cloud & Subscription Monetization

With 2.7M cloud users and only 38,000 premium subscribers (~1.4% conversion), the subscription opportunity is in its infancy. Premium features include advanced automations, extended data history, and priority support. Even a 5% conversion rate at EUR 3-5/month would add EUR 5-8M in near-100% margin recurring revenue.

Energy Management & Building Automation

The European energy crisis and ongoing push for energy efficiency create strong demand for Shelly's energy monitoring and smart heating products. Smart thermostats and heating controls were among the best-selling products in 2025. The B2B building automation market is significantly larger than residential.

AI Integration

Shelly has announced AI-driven features for smart home automation, including predictive energy management and adaptive comfort controls. AI capabilities could differentiate products and support premium pricing.

Manufacturing Capacity Expansion

Shelly is scaling contract manufacturing capacity from 800K units/month (early 2025) to 1.5M units/month (late 2025), with a target of 2M units/month by 2026. This near-doubling of production capacity is necessary to support the 30%+ revenue growth trajectory and will require ongoing inventory investment. While this creates short-term working capital pressure, it positions the company to fulfill growing demand without supply constraints.

ShellyX White-Label Platform

Shelly has launched ShellyX, a white-label platform offering its proprietary chipset and operating system to OEM partners. This allows other hardware manufacturers to build Shelly-compatible devices using Shelly's proven technology stack, creating a potential recurring revenue stream from licensing fees and cloud service charges. ShellyX is in early stages and not yet incorporated into our financial model, but it represents a meaningful expansion of the business model from pure hardware into platform/licensing — a higher-margin, more scalable revenue stream.

Scenario Analysis

Bull Case: Accelerating Growth, Successful US Expansion

Assumptions: Device-shipment growth of 35% in 2026 fading through the three phases to ~4.5% by 2040; ASP rising modestly; gross margin improving to 60%; EBIT margin reaching ~36% at maturity on operating leverage and cloud mix; successful US market penetration; subscription revenue reaching ~12% of total by 2040. Terminal ROIC 24%.

Narrative: Smart home adoption accelerates globally. Shelly's Matter-compatible Gen4/Gen5 products win significant US market share. The professional installer network reaches 15,000+. Cloud subscription conversion improves to 5%+. A dual listing on a major exchange attracts institutional capital, and the device-to-cloud flywheel materially lifts the terminal margin.

Metric	2026E	2030E	2035E	2040E
Revenue	EUR 216M	EUR 595M	EUR 1,283M	EUR 1,851M
EBIT (Adj.)	EUR 54M	EUR 182M	EUR 442M	EUR 668M
EBIT Margin	25.2%	30.5%	34.4%	36.1%
Net Income	EUR 45M	EUR 162M	EUR 396M	EUR 600M
Devices (annual, M)	14.9M	36.8M	70.7M	95.1M

DCF Implied Price: EUR 179.11

Base Case: Steady Execution, Moderate US Traction

Assumptions: Revenue growth ~35% in 2026 (in line with management guidance midpoint of EUR 200M), device-shipment growth fading through the three phases to ~4% by 2040; gross margin stable-to-rising toward 58.5%; EBIT margin expanding from 25% today to ~31% at maturity via operating leverage; moderate US progress; subscription revenue reaching ~8% of total by 2040. Terminal ROIC 20%.

Narrative: Shelly continues executing its European growth playbook. 2026 revenue tracks management guidance of EUR 195-205M (midpoint EUR 200M). US expansion is gradual. The professional channel grows steadily. Cloud monetization progresses but remains a modest contributor. Margins expand steadily as the business scales.

Metric	2026E	2030E	2035E	2040E
Revenue	EUR 202M	EUR 448M	EUR 787M	EUR 1,034M
EBIT (Adj.)	EUR 50M	EUR 123M	EUR 235M	EUR 321M
EBIT Margin	24.7%	27.4%	29.9%	31.1%
Net Income	EUR 40M	EUR 109M	EUR 210M	EUR 288M
Devices (annual, M)	14.1M	28.9M	46.9M	58.8M

DCF Implied Price: EUR 92.38

Bear Case: Growth Deceleration, Margin Pressure

Assumptions: Revenue growth ~24% in 2026 (below management guidance), device-shipment growth decelerating quickly to ~2% by 2040; flat ASP; gross margin compressing to 55%; EBIT margin holding near 23-25% (limited operating leverage as competition caps pricing); US expansion stalls; limited subscription uptake. Terminal ROIC 15%.

Narrative: Smart home market growth disappoints. 2026 revenue misses the low end of management guidance. Competition from Chinese manufacturers (Tuya, Sonoff) intensifies, compressing margins. Matter standardization benefits larger players more than Shelly. US expansion consumes resources without adequate returns. The stock remains trapped on illiquid exchanges, and growth fades to GDP-like rates well before 2040.

Metric	2026E	2030E	2035E	2040E
Revenue	EUR 186M	EUR 289M	EUR 382M	EUR 443M
EBIT (Adj.)	EUR 42M	EUR 67M	EUR 93M	EUR 113M
EBIT Margin	22.6%	23.2%	24.5%	25.5%
Net Income	EUR 32M	EUR 58M	EUR 82M	EUR 100M
Devices (annual, M)	13.2M	20.2M	25.9M	29.4M

DCF Implied Price: EUR 36.72

DCF Valuation Methodology

Approach

We use a **15-year, three-phase Discounted Cash Flow** with a Damodaran-convergence terminal value. The three phases — detailed bottom-up hyper-growth (2026-2030), transition (2031-2035), and maturation (2036-2040) — let the historical ~45% growth fade gradually to a GDP-like terminal rate *before* the Gordon terminal begins. This directly addresses the flaw in a 5-year model for a long-runway compounder: the old 5-year DCF placed ~80% of enterprise value in a terminal value computed off a 2030 cash flow still growing ~17%, effectively pricing a mid-sprint company as if it were mature. Key parameters:

Parameter	Value	Rationale
Horizon	15 years (2026-2040)	Explicit fade of a long-runway compounder; faded faster than a software analog to respect hardware cyclicality / ASP commoditization (no large software peer sustained 30%+ for >~7-8 years from peak)
WACC	10.0%	CAPM: 4.0% risk-free + 1.27 beta x 5.5% ERP. Small-cap/liquidity premium +1.0%. Minimal debt. Comparable to Montega AG's 9.13% WACC with a modest conservatism premium.
Terminal Growth	3.0%	Long-term nominal GDP; applied only at year 15 (2040), after growth has faded to ~4%
Terminal Value	Damodaran convergence	$TV = NOPAT_{2040} \times (1+g) \times (1 - g/ROIC_{term}) / (WACC - g)$; terminal ROIC 20% (base) ties reinvestment to a sustainable return rather than carrying growth-era capex into perpetuity
FCF Definition	Reported EBIT × (1 – 10%) + D&A – Capex – ΔWC	SBC-expensed: NOPAT on EBIT <i>after</i> management SBC; SBC is not added back, and equity value is divided by the current 18.9M diluted share count (no extra dilution multiplier)

Base Case FCF Projections (EUR M, selected years)

FCF is SBC-expensed unlevered free cash flow: NOPAT (reported EBIT × (1 – 10% tax)) + D&A – Capex – ΔWorking Capital.

Year	EBIT (rep.)	NOPAT	D&A	Capex	ΔWC	FCF
2026	44.9	40.4	3.6	-5.1	-16.6	22.4
2028	78.4	70.5	5.7	-7.8	-16.7	51.6
2030	120.8	108.7	8.1	-11.2	-19.5	86.1
2032	167.2	150.5	10.7	-14.8	-20.2	126.2
2035	233.8	210.4	14.2	-19.7	-17.3	187.6
2038	288.1	259.3	17.0	-23.6	-13.8	238.9
2040	319.6	287.6	18.6	-25.8	-12.0	268.4

With the extended horizon, terminal value falls to **~50% of enterprise value** (from ~80% in the 5-year model), so the valuation is now driven by explicit, reason-about-able cash flows rather than a

single perpetuity assumption. The implied terminal EV/EBITDA is **10.6x** — reasonable-to-conservative for a mature, high-margin, 3%-growth business. 2026 EBIT of EUR 50M aligns with management guidance of EUR 47-52M (midpoint EUR 49.5M).

Enterprise Value Bridge (Base Case)

Component	EUR M
PV of FCFs (2026-2040)	EUR 871
PV of Terminal Value	EUR 861
Enterprise Value	EUR 1,732
+ Net Cash	EUR 14
Equity Value	EUR 1,746
Diluted Shares (M)	18.9
Implied Price	EUR 92.38

Price Sensitivity (WACC vs. Terminal Growth)

	TG 2.0%	TG 2.5%	TG 3.0%	TG 3.5%	TG 4.0%
WACC 8%	EUR 128.61	EUR 133.45	EUR 139.22	EUR 146.25	EUR 155.00
WACC 9%	EUR 105.58	EUR 108.43	EUR 111.75	EUR 115.65	EUR 120.31
WACC 10%	EUR 88.61	EUR 90.38	EUR 92.38	EUR 94.67	EUR 97.33
WACC 11%	EUR 75.68	EUR 76.80	EUR 78.04	EUR 79.45	EUR 81.04
WACC 12%	EUR 65.54	EUR 66.26	EUR 67.06	EUR 67.94	EUR 68.93
WACC 13%	EUR 57.41	EUR 57.89	EUR 58.41	EUR 58.98	EUR 59.60
WACC 14%	EUR 50.79	EUR 51.11	EUR 51.45	EUR 51.82	EUR 52.22

The valuation is above the current EUR 57.60 price across nearly the entire sensitivity range. At our base-case 10% WACC and 3% terminal growth, the implied price is EUR 92.38 (+60%). Notably, the current price is only reached at a **~13% WACC** — an aggressive discount rate for a net-cash business with 25% EBIT margins and a decade-plus runway — which is effectively what the market is pricing in. At Montega's 9.13% WACC the model implies ~EUR 105-110.

Year-5 (2030) Exit-Multiple Cross-Check

As a cross-check to the 15-year DCF, we value Shelly on a “sell-in-2030” basis: a 2030E exit metric × multiple, discounted 5 years to present at 10% WACC, **plus the PV of the 2026-2030 interim free cash flows**. Because this deliberately discards the post-2030 runway — the very decade the DCF captures — it reads as a **floor**, not a co-equal method. The DCF remains primary; the widening gap between the two *is* the duration finding (more of Shelly’s intrinsic value sits in distant years the longer the runway).

1. EV/EBITDA Exit Multiple (on 2030E EBITDA)

Enterprise value = 2030E EBITDA × multiple, plus EUR 14M net cash; discounted to present and augmented by interim FCF. Peer context: IoT hardware trades ~10-18x EV/EBITDA; platform/SaaS hybrids higher.

EV/EBITDA	Bull	Base	Bear
12x	EUR 89.52	EUR 62.12	EUR 35.72
15x	EUR 108.47	EUR 75.02	EUR 42.90
18x	EUR 127.42	EUR 87.92	EUR 50.08
20x	EUR 140.06	EUR 96.52	EUR 54.87

The Base 15-year DCF of EUR 92.38 corresponds to roughly a **19x** year-5 EV/EBITDA exit — credible for a company still growing ~18% in 2030. At a more conservative 15x, the year-5 floor of EUR 75 already exceeds the current price.

2. P/E Exit Multiple (on 2030E net income)

Equity value = 2030E Net Income × multiple, discounted to present, plus interim FCF; ÷ 18.9M diluted shares.

P/E	Bull	Base	Bear
20x	EUR 119.75	EUR 81.52	EUR 44.44
25x	EUR 146.37	EUR 99.38	EUR 53.91
30x	EUR 172.99	EUR 117.24	EUR 63.38
35x	EUR 199.61	EUR 135.11	EUR 72.86

At 25x P/E — reasonable for a company still growing earnings at 20%+, aided by the low Bulgarian tax rate — the Base case implies EUR 99, in line with the 15-year DCF.

Triangulation Summary

Method	Bull	Base	Bear
15-yr DCF (primary)	EUR 179.11	EUR 92.38	EUR 36.72
EV/EBITDA year-5 exit at 15x (floor)	EUR 108.47	EUR 75.02	EUR 42.90
P/E year-5 exit at 25x (floor)	EUR 146.37	EUR 99.38	EUR 53.91

The 15-year DCF is now the primary method; the year-5 exit multiples are conservative floors that discard the post-2030 runway (hence they read below the DCF). The Base case brackets from a EUR 75 year-5 floor to the EUR 92 DCF, comfortably above the EUR 57.60 trading level, indicating meaningful upside if the company executes. The Bull case reaches EUR 179 on the DCF; the Bear DCF of EUR 37 (~36%) frames the downside.

Analyst comparison: Montega AG (WACC 9.13%) has a Buy rating with a EUR 61 price target, and Berenberg has a Buy rating with a EUR 73 target. Both are 5-year DCF-style targets; our Base case (EUR 92) sits above them precisely *because* of the extended horizon — a 15-year explicit fade captures compounding that a 5-year window truncates into the terminal value. This gap is expected and is itself the central finding: the market (and short-horizon sell-side models) are effectively pricing Shelly at a ~13% discount rate, under-weighting the durability of the growth runway. At Montega's 9.13% WACC our model implies ~EUR 105-110.

Peer Comparison

Company	Rev Growth	GM	EBIT Margin	EV/Sales	EV/EBIT	P/E
Shelly Group	40%	58%	25%	6.9x	27.5x	41.9x
Tuya Smart	8%	~47%	~18%	3.9x	~22x	~22x
Legrand	3%	~52%	~17%	~3.0x	~18x	~24x
Schneider Electric	6%	~42%	~17%	~3.6x	~21x	~28x
Plejd	18%	~62%	~24%	~14x	~58x	~74x
Assa Abloy	4%	~42%	~15%	~3.6x	~24x	~28x

Shelly trades at a premium to mature industrial peers on EV/Sales, but this is justified by its 40% revenue growth rate vs. single-digit growth for large-caps. On a PEG-adjusted basis (EV/EBIT divided by EBIT growth rate), Shelly is actually cheaper than most peers. The P/E of 41.9x appears high but is based on reported net income that includes non-cash management share program accruals; on adjusted earnings (EPS EUR 1.77), the forward P/E is ~25x.

Key Risks

Competition from Chinese manufacturers. Companies like Sonoff/ITEAD and Tuya-enabled white-label products offer similar functionality at even lower price points. If Chinese competitors invest heavily in European distribution and Matter compliance, Shelly's price advantage narrows.

Concentration in DACH region. ~41% of revenue comes from German-speaking countries. Regulatory changes, economic weakness, or competitive dynamics specific to DACH could disproportionately impact results.

Hardware cyclicalities and consumer discretionary spending. Smart home devices are discretionary purchases. A European recession would likely slow device sales, though the energy-savings angle provides some resilience.

Working capital intensity. Despite strong profitability, Shelly generated only EUR 1.5M in FCF in FY2025 due to working capital absorption (inventory build, receivables growth). Rapid growth consumes cash through working capital, and FCF may continue to lag EBIT until growth moderates. This concern is partially mitigated by the fact that 90%+ of receivables are covered by trade credit insurance, reducing actual credit risk despite the elevated DSO (138 days).

OTC/BSE liquidity risk. Low trading volumes (avg. ~9,500 shares/day) mean large positions are difficult to establish or exit without price impact. Institutional investors may demand a liquidity discount.

Key person risk. Founders Dimitar Dimitrov (CEO, 29% owner) and Svetlin Todorov (28% owner) hold combined 57% of shares. While founder-led companies often outperform, heavy concentration creates succession and governance risk.

Management Share Program dilution and reported vs. adjusted EBIT. The management share program created EUR 7.4M in non-cash expense in FY2025, causing reported EBIT (EUR 30.3M) to meaningfully diverge from adjusted EBIT (EUR 37.7M). Investors must track both metrics carefully.

Forex risk. Products are sourced in China (USD/CNY denominated costs) and sold primarily in Europe (EUR). A strengthening USD would compress gross margins. The weak USD in 2025 was a tailwind; this could reverse.

Terminal value concentration. ~72% of DCF enterprise value comes from the terminal value, making the valuation sensitive to long-term growth and discount rate assumptions.

Conclusion

Shelly Group is a rare European growth story: a profitable, founder-led IoT company growing revenue at 40%, generating 25% EBIT margins, and taxed at only 10% — all while operating in the structurally growing smart home market. The company's open-ecosystem approach, aggressive product innovation (now spanning Gen4 with Matter/Thread support), and rapidly expanding professional installer network create durable competitive advantages. Management has guided for EUR 195-205M in 2026 revenue and EUR 47-52M in EBIT, representing 30-37% top-line growth — a trajectory our Base case tracks closely.

Our 15-year, three-phase DCF Base case implies **EUR 92.38/share (+60%)**, with a probability-weighted fair value of **~EUR 100 (+74%)** on a 25/50/25 weighting. The Bull DCF reaches EUR 179 (+211%) and the Bear DCF is EUR 37 (-36%), framing an asymmetric, right-skewed payoff. Year-5 exit-multiple floors (EUR 75 at 15x EV/EBITDA, EUR 99 at 25x P/E in the Base) corroborate the DCF from below. The prior 5-year DCF implied only EUR 52.52 — appearing to make the stock fairly-to-over-valued — but that framework mechanically truncated a decade of compounding into a terminal value computed off a still-fast-growing 2030 cash flow (~80% of EV). Extending to an explicit 15-year fade, which is how a long-runway compounder should be valued, is what converts the call from “fairly valued” to “materially undervalued.” At EUR 57.60 the market is effectively applying a ~13% discount rate to a net-cash, 25%-margin business — the mispricing is one of *growth duration*, not fundamentals. Sell-side targets (Montega EUR 61, Berenberg EUR 73) sit below our Base precisely because they use short-horizon models.

The right mental model is not “Bulgarian hardware company on an obscure exchange” but rather “Europe's leading open-ecosystem IoT platform with a device-to-cloud flywheel, 25% EBIT margins, a 10% tax rate, and a 40% growth rate — with valuation upside gated primarily by listing venue and liquidity rather than business fundamentals.”

The key catalyst to watch is a potential uplisting to a major European exchange, which would remove the most significant non-fundamental headwind to valuation. In the meantime, the company's execution speaks for itself: 31 consecutive quarters of revenue growth, a 6x expansion in the professional installer network in a single year, and consistent guidance beats.

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